

BANKING PROCESS PROJECT

TITLE: STUDY OF BANKING PROCESSES AND OPERATIONS

Submitted By:

Name: Chetana Devidas Kharade

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1. INTRODUCTION

Banking is one of the most important sectors of every economy. Banks act as financial intermediaries by accepting deposits from customers and providing loans to individuals and businesses. Modern banks also provide digital payment services, investment products, insurance, foreign exchange services, and financial advisory services.

With technological advancements, banking has become faster, safer, and more customer-friendly through internet banking, mobile banking, UPI, and digital wallets.

2. OBJECTIVES

- To understand the concept of banking.
- To study different banking processes.
- To understand deposit and loan operations.
- To learn payment and settlement systems.
- To study digital banking services.
- To understand banking regulations and compliance.
- To know the importance of customer service in banking.

3. MEANING OF BANKING

Banking refers to the business of accepting deposits from the public for lending or investment. Banks provide financial services that help individuals, businesses, and governments manage money efficiently.

Main Functions

- Accept Deposits
- Provide Loans
- Money Transfer
- Investment Services
- Foreign Exchange
- Payment Services

4. TYPES OF BANKS

1. Public Sector Banks

Government-owned banks.

Examples

- State Bank of India
- Bank of Baroda
- Punjab National Bank

2. Private Sector Banks

Privately owned banks.

Examples

HDFC Bank

ICICI Bank

Axis Bank

3. Cooperative Banks

Serve local communities and cooperative societies.

4. Regional Rural Banks (RRBs)

Provide banking facilities in rural areas.

5. Small Finance Banks

Serve small businesses and low-income customers.

5. CORE BANKING PROCESS

Core Banking allows customers to access banking services from any branch.

Process Flow

Customer Opens Account



KYC Verification



Account Creation



Deposit/Withdrawal



Transaction Recording



Interest Calculation



Customer Service



Statement Generation

6. DEPOSIT PROCESS

Banks accept money from customers in different forms.

Types of Deposits

A. Savings Account

- For individuals
- Earns interest
- Easy withdrawals

B. Current Account

- For businesses
- Unlimited transactions
- No interest

C. Fixed Deposit (FD)

- Fixed tenure
- Higher interest
- Premature withdrawal allowed with penalty

D. Recurring Deposit (RD)

- Monthly deposits
- Fixed maturity

DEPOSIT PROCESS FLOW

Customer Visits Bank



Deposit Slip



Cash Verification



Entry in Banking System



Receipt Generated



Balance Updated

7. LOAN PROCESS

Banks provide loans after evaluating customer eligibility.

Types of Loans

- Home Loan
- Education Loan
- Vehicle Loan
- Personal Loan
- Business Loan
- Gold Loan

Loan Processing Steps

Customer Applies



Document Submission



KYC Verification



Credit Score Check



Income Verification



Loan Approval



Loan Disbursement



EMI Repayment

DOCUMENTS REQUIRED

Aadhaar Card

PAN Card

Income Proof

Address Proof

Passport-size Photos

Bank Statements

Salary Slips

8. PAYMENT PROCESSING

Banks process payments through various channels.

Payment Methods

NEFT

RTGS

IMPS

UPI

Debit Card

Credit Card

Internet Banking

Mobile Banking

Payment Flow

Customer Initiates Payment



Bank Verifies Details



Authentication



Fund Transfer



Confirmation

9. CHEQUE CLEARING PROCESS

Cheque Deposit



Cheque Verification



CTS Scanning



Clearing House



Receiving Bank



Amount Credited

10. DIGITAL BANKING

Digital banking enables customers to perform banking transactions online.

Services

Balance Enquiry

Fund Transfer

Bill Payments

Online FD Opening

Loan Applications

Credit Card Payments

QR Payments
Mobile Recharge

Benefits

24×7 Banking
Time Saving
Secure Transactions
Paperless Banking
Easy Access

11. KYC AND COMPLIANCE

KYC (Know Your Customer) helps banks verify customer identity and prevent fraud.

KYC Documents

Aadhaar Card
PAN Card
Passport
Voter ID
Driving Licence

Importance

Prevents Money Laundering
Prevents Fraud
Customer Identification
Regulatory Compliance

12. RISK MANAGEMENT IN BANKING

Banks face different types of risks.

Credit Risk

Borrower fails to repay loan.

Operational Risk

System failure or human error.

Market Risk

Changes in interest rates or exchange rates.

Cyber Risk

Online fraud and hacking.

Liquidity Risk

Shortage of cash to meet obligations.

13. BANKING TECHNOLOGY

Modern banks use advanced technology.

Technologies

Core Banking System (CBS)

Artificial Intelligence

Machine Learning

Blockchain

Cloud Computing

Data Analytics

OCR

Biometric Authentication

Cyber Security Systems

14. CASE STUDY

OPENING A SAVINGS ACCOUNT

Customer

Rahul wants to open a savings account.

Steps

Visits the bank.

Submits Aadhaar and PAN.

Completes KYC.

Deposits ₹5,000.

Account is activated.

Receives Debit Card.

Registers Mobile Banking.

Starts using UPI and Internet Banking.

Outcome

Rahul can now save money, transfer funds, pay bills, and receive salary directly into his account.

15. ADVANTAGES AND CHALLENGES

ADVANTAGES

- Safe place to keep money
- Easy loans
- Digital payments
- Financial inclusion
- Investment opportunities
- Economic growth

CHALLENGES

- Cyber fraud
- Identity theft
- NPAs (Non-Performing Assets)
- Loan defaults
- Increasing competition
- Data security concerns

16. CONCLUSION

Banks are the backbone of the financial system. They facilitate savings, lending, investments, and digital payments while supporting economic development. With advancements in technology, banking has become faster, more secure, and customer-centric. Understanding banking processes helps students develop practical knowledge useful for careers in banking and financial services.

17. BIBLIOGRAPHY

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